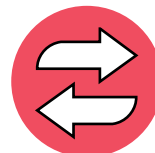


# CAPEX FOCUS MOVES TO OTHER SECTORS

• Defence gets highest allocation in capex in FY26 • Allocations for roads and railways nearly flat in FY26



|           | DEFENCE | RAILWAYS | ROADS AND HIGHWAYS | HOUSING AND URBAN AFFAIRS | TRANSFERS TO STATES |
|-----------|---------|----------|--------------------|---------------------------|---------------------|
| FY24      | 1.64    | 2.4      | 2.6                | 0.26                      | 1.2                 |
| % change  | 9.1     | 52.3     | 28.1               | -1.8                      | 51.3                |
| FY25 (RE) | 1.7     | 2.5      | 2.7                | 0.31                      | 1.4                 |
| % change  | 3.6     | 3.9      | 3.3                | 19.9                      | 13.4                |
| FY26 (BE) | 1.9     | 2.5      | 2.7                | 0.37                      | 1.7                 |
| % change  | 12.8    | 0        | -0.1               | 18.8                      | 22.4                |

**SOURCE** EMKAY GLOBAL FINANCIAL SERVICES, BUDGET DOCUMENTS

now, including the zero rate, and has rationalised rates on several items. Duties on about 40 items have been cut including mobile phone batteries and components, lifesaving drugs, and leather.

Pratik Jain, Partner at professional services firm PwC India, notes that the Budget's alignment with Make in India agenda is clearly reflected through three broad themes. These include incentivising manufacturing through customs duty reduction on inputs and capital goods in critical sectors such as those with MSME presence (textile, leather, footwear), export push (mobile phone manufacturing), and sectors with green push (EV battery). Further, the tariff structure has been simplified, and the number of tariff rates reduced.

The Budget also took care of long-standing concerns of the US on items such as Harley Davidson

motorbikes to make their imports cheaper. The duty on motorcycles of engine capacity less than 1600 cc has been lowered to 40% from the earlier 50%, while for those above 1600 cc, the tariff has been slashed from 50% to 30%.

Pandey points out that India did not have very high tariffs on US products. "On the 13 large products from the US, you would see the important products imported from US on industrial goods, our tariffs are ranging within 10%," he says. With the Budget exercise, India's effective tariff rate has been lowered to about 10.6%, which is close to the ASEAN level, he says.

Experts, too, note that the Budget has introduced significant tariff reductions on multiple products. "Among the key tariff reductions, India lowered the duty on fish hydrolysate for the manufacture of aquatic feed from 15% to

5%, a move that directly impacts US exports, which amounted to \$35 million in FY24," noted a report by economic think tank Global Trade Research Initiative.

## THE BUDGET MATH

Underpinning these initiatives is the Budget math, which continues to focus on fiscal consolidation, albeit at a softer pace. The Centre's spending on capital asset creation has also moderated and is now seen to be about 3% of the GDP for some time.

With about 8.4% of the estimated capital expenditure of ₹11.11 lakh crore remaining unspent, the capex target for FY25 was scaled down to ₹10.18 lakh crore in the Revised Estimates (RE). The savings have translated to some improvement in the fiscal deficit that is seen to be contained at 4.8% of GDP in FY25